Project Nordlys - Acquisition Memo

Strictly confidential - insider list

1. Transaction overview

Project Nordlys is the proposed acquisition of 100% of Kestrel Fluid Controls Oy, a Finnish manufacturer of smart valve actuators with FY2025 revenue of EUR 37.8 million and 186 employees.

Indicative enterprise value: EUR 73.8 million, equal to 11.2x FY2025 EBITDA. Financing from existing cash and a EUR 40m term loan.

2. Synergies and timetable

Revenue synergies of EUR 6.6m by 2028 from cross-selling actuators with HX pumps; cost synergies of EUR 1.9m from procurement.

Timetable: confirmatory due diligence until 15 March 2026, signing targeted for April 2026, closing subject to FCCA approval in Q3 2026.

Deal team: Maria Peltoniemi (sponsor), Valdemar Peltonen (finance), Anne Laakkonen (legal). Advisors: Fjell & Partners (M&A;), Rautio Legal.